



G20 DELHI SUMMIT PAVING THE WAY FOR GLOBAL CRYPTO-ASSET REGULATION GIVES ME OPTIMISM!

As the Cofounder of a prominent Web3 company in India, can you share your perspective on the current regulatory landscape for the web3/crypto industry in the country?

To be candid, India's regulatory climate has not been the most conducive to the growth of Web3 start ups. Especially when viewed in comparison with, for instance, European, Middle Eastern, or other Asian countries that are developing bespoke regulations tailored to the Web3 ecosystem. This space is complex and unique. Therefore, regulations must be tailor made to it, and retrofitting traditional regulatory tools to the Web3 ecosystem is not the way out.

I've often quoted the 1% TDS as an example demonstrating policy makers' noble intentions gone wrong. While the objective of the levy was to monitor transactions in this space, it has inadvertently incentivised Indian users to use alternate channels to engage with crypto. Not only are such transactions harder to trace, but they are not secure and thus render Indian users vulnerable.

That said, recent developments have given me optimism. The G20 summit led by India saw some progressive conversations around crypto regulations. The inclusion of virtual asset service providers under the AML law, earlier this year, was also a welcome step. Further, the inclusion of Web3 technologies in the upcoming Digital India Act, which is set to replace the Information Technology Act, is also a move in the right direction.

To sum it up, while the regulatory landscape in India up until now has not been the most supportive to Web3 start ups, I see a tangible change in the conversation going forward, and I'm hoping for the best.

What was the key focus of the G20 New Delhi Leaders' Declaration in relation to crypto assets? What are the high-level recommendations for the regulation, supervision, and oversight of crypto-asset activities and markets?

The G20 New Delhi Leaders' Declaration consolidates recommendations from various global standard-setting bodies, offering comprehensive guidance to address macroeconomic and financial stability challenges associated with crypto assets, including stablecoins and decentralized finance (DeFi).

In terms of regulation, it encourages authorities to utilize their powers, tools, and resources effectively for regulation, even suggesting possible adaptations to existing laws for comprehensive coverage. The principle "same activity, same risk, same regulation" is underscored, stressing proportional regulation aligned with financial stability concerns. The paper clearly brings out that continuous supervision through well defined regulatory policies, oversight mechanisms and unambiguous tax treatment is the way forward.

Regarding data collection and reporting, the paper emphasizes the significance of extensive data collection to meet policy objectives and stay updated on evolving developments in the crypto market. It highlights the importance of international cooperation and data sharing in preventing illicit use and regulatory arbitrage.



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As far as the risk management and disclosures are considered, Virtual Asset Service Providers (VASPs) are urged to establish robust risk management frameworks with clear accountability structures. Comprehensive corporate governance plans and effective disclosures are vital to protect consumers and monitor ecosystem interdependencies.

The paper undoubtedly underscores the global